

I was reminded of Amitabh Bachchan's famous dialogue in the 1990 blockbuster *Agneepath*:

*Cheenti ko bistuiya kha jaata hai, bistuiya ko mendak, mendak ko saanp nigal jaata ha, nevla saanp ko maarta hai, bhediya nevla ka khoon choos leta hai, sher bhediye ko chaba jata hai, idhar har taqatwar apne se kam ko maarkar jeeta hai.* (The lizard eats the ant, the frog the lizard, the snake swallows the frog, the mongoose kills the snake, the wolf sucks the blood of the mongoose, the lion tears the wolf apart. Out here, every strong person survives by killing those weaker than himself.)

Stockbroking is hardly a lucrative business, and even the big domestic brokerages that went public at the peak of the bull market of 2007-08 earn much of their profits from their NBFC, wealth management and financial products businesses.

The other day, I was watching a big name on Dalal Street being interviewed on a business channel. When somebody in the audience asked him to recommend a multi-bagger stock, the ace investor uttered a single line that said a lot about stock investing. 'Only posterity will tell.'

The man in the audience pressed him for a recommendation, but the investor repeated his answer. Everybody thought he was being snobbish, but he was merely speaking the truth. No value investor can say for sure that a stock he is going to buy will become a multi-bagger. He can take a calculated bet based on his reading of a few parameters. But so many things have to fall in place for that stock to eventually become a multi-bagger. Even if one or two things go wrong, the stock will never realize its true value. Conversely, even the most undeserving of stocks can briefly rise to absurd valuations for reasons that have nothing to do with the company's performance.

When the BJP swept into power in May 2014 with a comfortable majority on its own, everybody thought the market was now poised for a historic bull run. But eighteen months later, the returns have only been modest. The Indian market is struggling, like most of its emerging market peers, for reasons mostly beyond its control. That should tell you how difficult it is to make money in the stock market.

I haven't heard from my friend Dipya in a while now. Maybe the market has cured him of his delusions. Or maybe my pearls of wisdom worked and he is doing so well that he no longer needs my advice.